



NIGERIA REVENUE SERVICE
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INFORMATION CIRCULAR

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**Subject: GUIDELINES FOR ESTIMATED RETURNS BY COMPANIES
ENGAGED IN MIDSTREAM LIQUEFIED NATURAL GAS
ACTIVITIES**

These guidelines are issued for the information and guidance of taxpayers, tax practitioners, Oil and Gas Midstream Liquefied Natural Gas companies operating in Nigeria and the public in line with the provisions of the relevant tax laws.

1.0 Introduction

The Nigeria Tax Administration Act (NTAA) No. 5, 2025, provide for Oil and Gas Midstream Liquefied Natural Gas companies operating in Nigeria to submit to the Nigeria Revenue Service (the Service), estimated returns of its profit or loss for the relevant accounting period. These guidelines are issued to promote compliance in filing of estimated income tax returns by a company engaged in midstream operations of liquefied natural gas.

2.0 Filing of estimated income tax returns

A company engaged in midstream operations of liquefied natural gas shall submit to the Service an estimated tax returns of its profits or losses for each accounting period for the purpose of income tax. The estimated income tax returns shall be filed not later than two months after the commencement of each accounting period.

3.0 Contents of the estimated income tax returns

The estimated tax returns of a company for each accounting period shall contain a;

- a. computation of its estimated revenue, adjusted profit or loss and estimated assessable profits of that period;
- b. computation of its estimated revenue from all sources including plants condensates, natural gas liquids, liquefied natural gas, liquefied petroleum gas and any other incidental income;

- c. statement of an estimate of amounts to be repaid, refunded, waived or released to it during that period;
- d. schedule of capital allowance showing –
- e. the estimated residues at the end of that period in respect of its assets, all estimated qualifying capital expenditure incurred by it in that period,
- f. the values of its assets, estimated by references to the provisions of that schedule, to be disposed of in that period,
- g. the allowances due to it under that schedule for that period, and
- h. a computation of estimated capital allowances for the period;
- i. computation of its estimated total profits for that period;
- j. computation of its estimated tax payable for that period; and
- k. declaration that the estimate was made to the best of the ability of the person signing the declaration.

4.0 Payment on instalment

The payment of estimated tax payable shall be on twelve equal monthly instalments. Consequently, the estimated income tax computed is divided by twelve (12) to arrive at the monthly instalments payable as stated below:

- a. the first instalment is due and payable not later than the third month of the accounting period.
- b. subsequent instalments are due and payable not later than the last day of each month.
- c. final instalment is due and payable on or before the due date of filing of self-assessment of tax for each accounting period.

Illustration 1

ALNG Ltd is engaged in midstream oil and gas liquefied natural gas activities. The following data was extracted from its estimated income tax returns for 2026 accounting period ending 31st December 2026.

Estimated Tax payable = US\$1,200,000,000

Compute monthly instalments payable during the 2026 accounting period.

Treatment

Estimated Income Tax Payable	= US\$1,200,000,000
Monthly instalment	= US\$1,200,000,000/12
	= US\$100,000,000

Schedule of Instalments:

Instalment	Month	Due date	Amount (\$)
1st	March 2026	31st March 2026	100,000,000
2nd	April 2026	30th April 2026	100,000,000
3rd	May 2026	31st May 2026	100,000,000
4th	June 2026	30th June 2026	100,000,000
5th	July 2026	31st July 2026	100,000,000
6th	August 2026	31st August 2026	100,000,000
7th	September 2026	30th September 2026	100,000,000
8th	October 2026	31st October 2026	100,000,000
9th	November 2026	30th November 2026	100,000,000
10th	December 2026	31st December 2026	100,000,000
11th	January 2027	31st January 2027	100,000,000
12th	February 2027	28th February 2027	100,000,000
Total			1,200,000,000

Illustration 2

As in illustration 1 above but the actual tax payable on the submission of the actual returns in June 2027 is US\$1,400,000,000.

Compute the final instalment payable by the company.

Treatment

Actual Income Tax Payable	= US\$1,400,000,000
Less: Estimated Income Tax Paid	= <u>US\$1,200,000,000</u>
13th (final) instalment Payable	= <u>US\$200,000,000</u>

Note: the final instalment will be paid on or before the company's due date of filing its self-assessment for such accounting period.

5.0 Revised income tax estimates

The Oil and Gas Midstream Liquefied Natural Gas companies will submit a revised return at any time within the accounting period where there is a material change in any of the parameters used for the estimate to reflect the change during the accounting period.

Illustration 3:

As in illustration 1 above. However, the company revised its estimated income tax payable in June 2026 to US\$1,380,000,000 for the accounting period. Compute the estimated income tax payable for the year.

Treatment

Revised Estimated Income Tax Payable = US\$1,380,000,000
Less: Installment already paid (1st – 3rd) = US\$300,000,000
Balance Payable (4th -12th instalment) = US\$1,080,000,000
Revised Monthly instalment (9 months) = US\$1,080,000,000/9
= US\$120,000,000

Schedule of Instalments:

Instalment	Month	Due date	Amount (\$)
1st	March 2026	31st March 2026	100,000,000
2nd	April 2026	30th April 2026	100,000,000
3rd	May 2026	31st May 2026	100,000,000
4th	June 2026	30th June 2026	120,000,000
5th	July 2026	31st July 2026	120,000,000
6th	August 2026	31st August 2026	120,000,000
7th	September 2026	30th September 2026	120,000,000
8th	October 2026	31st October 2026	120,000,000
9th	November 2026	30th November 2026	120,000,000
10th	December 2026	31st December 2026	120,000,000
11th	January 2027	31st January 2027	120,000,000
12th	February 2027	28th February 2027	120,000,000
Total			1,380,000,000

6.0 Review and validation of income tax estimates by the Service

Every estimated income tax return made by a company engaged in liquefied natural gas operations shall be subject to review and validation by the Service.

However, the Service may determine the estimates payable by the company on the **Best of Judgement** basis where a company does not provide the estimates as required.

7.0 Sanctions for non-compliance

7.1 Failure to file estimated income tax returns

Any Midstream Oil and Gas company engaged in Liquefied Natural Gas that fails to file estimated income tax returns on the due date is liable to pay the following penalty:

- ~~N~~10million for the first day the failure occurs and ~~N~~2million for each subsequent day the failure continues;
- any other sum as may be prescribed by the Minister by an order published in the Official Gazette; and
- any other sanction prescribed by any applicable law or regulation.

7.2 Failure to pay estimated income tax (instalments)

Any Midstream Oil and Gas company engaged in Liquefied Natural Gas that fails to pay any instalment due is liable to pay in addition, the following in addition to the amount due;

- a. A sum equal to 10% of the amount due, and
- b. in case of naira liability, interest at the prevailing monetary policy rate of the Central Bank of Nigeria plus a spread to be determined by the Minister,
- c. in the case of tax liability in foreign currency, interest at the prevailing secured overnight financing Rate ("SOFR") or any successor rate, plus a spread to be determined by the Minister.

8.0 Transitional compliance requirements

The obligation by a company engaged in midstream operations of liquefied natural gas to file estimated tax returns of its profits or losses for each accounting period is effective from 2026 accounting period.

For a company that has 31st December as its accounting year end, the estimated income tax returns for 2026 accounting period will be filed not later than 28th February 2026. For such company, payment of monthly instalment will start from March 2026. The first instalment will be paid not later than 31st March 2026 while other monthly instalments will be paid on the last day of each succeeding month.

Due to transition, the company will file self-assessment returns of 2026 Year of Assessment by not later than 30th June 2026 (i.e. within six (6) months of the end of its 2025 accounting period) and pay the tax due. Consequently, the company will, in addition to the monthly instalments that will be paid at the end of each succeeding month beginning from March, also pay income tax for 2026 Year of Assessment (YOA) not later than the filing due date of 30th June 2026.

9.0 Amendment or Review of Guidelines

The Service may, at any time, withdraw or replace this Guideline or publish an amended or updated version.

10.0 Enquiries

All Enquiries on any aspect of this publication should be directed to:

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